

Executive Summary Dashboard

Status Snapshot (1987-10-09 to 2007-10-09)

Buffet Elevated Risk	International Trade Elevated Risk	Consumer Health Watch Zone	Housing Starts Watch Zone
Payroll Momentum Watch Zone	Yield Curve Watch Zone	Bank Credit Growth Normal	Corporate Earnings Normal
Credit Conditions Normal	Household Balance Normal	Housing Affordability Normal	Inflation Expectations Normal
Manufacturing Normal	Real M2 Growth Normal	Shiller Cape Normal	Shipping Normal
High Yield Oas Favorable	Inflation Spread Favorable	Initial Claims Favorable	Labor Market Favorable
Real Policy Rate Favorable			

 Elevated Risk

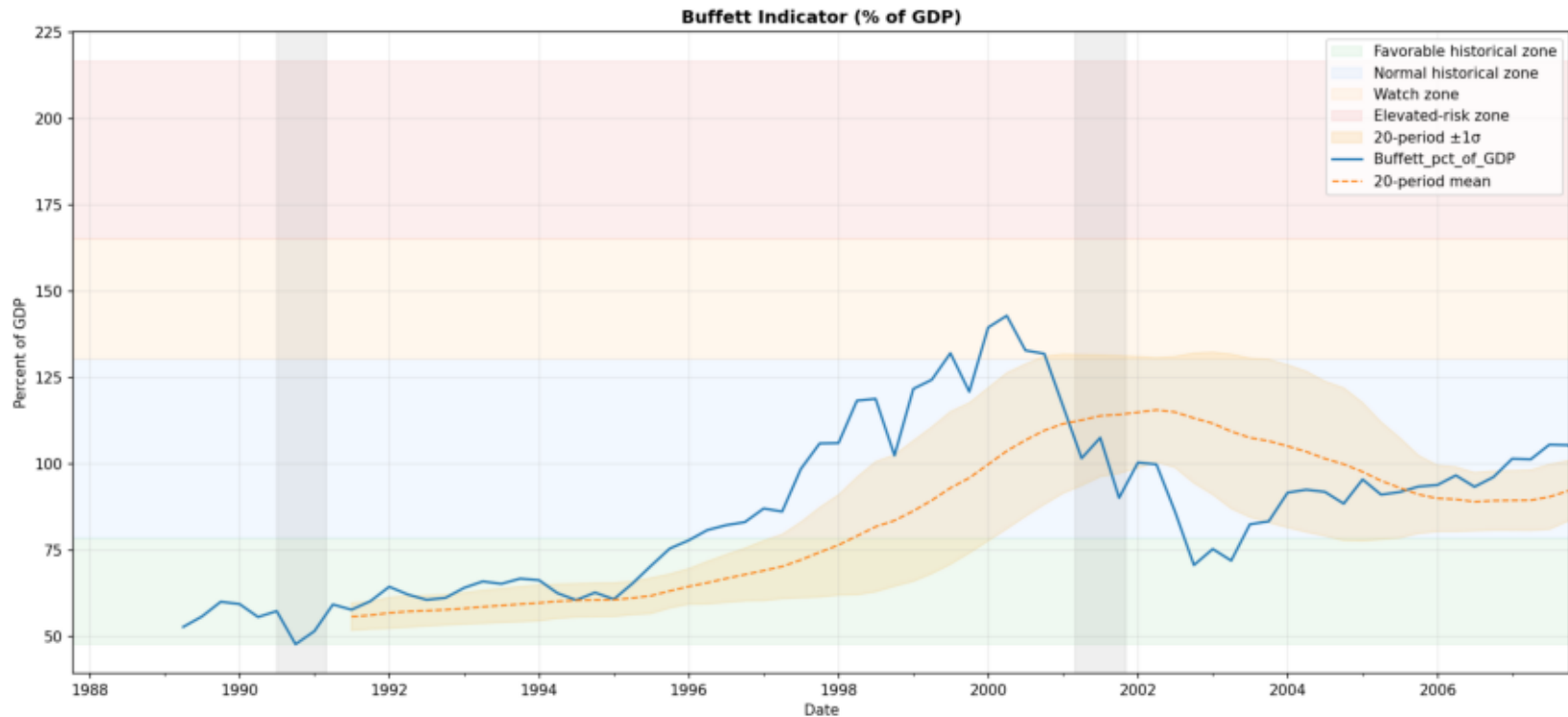
 Watch Zone

 Normal

 Favorable

Tracker Comparison (1987-10-09 to 2007-10-09)

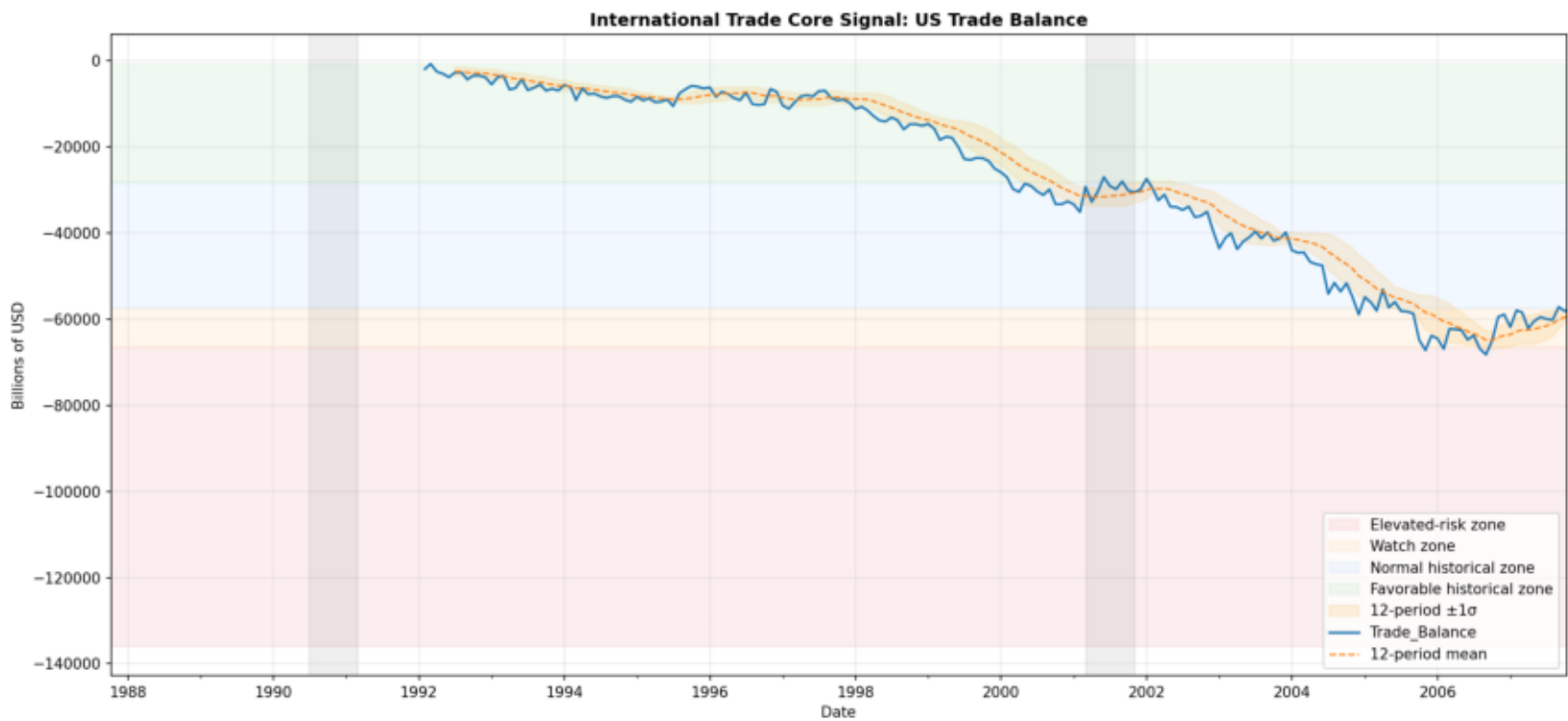
buffet_tracker.py



Buffett Indicator tracks total U.S. equity market value relative to U.S. GDP. Higher values indicate richer aggregate equity valuation versus the size of the economy, which is typically interpreted as higher long-term valuation risk rather than a short-term timing signal.

Tracker Comparison (1987-10-09 to 2007-10-09)

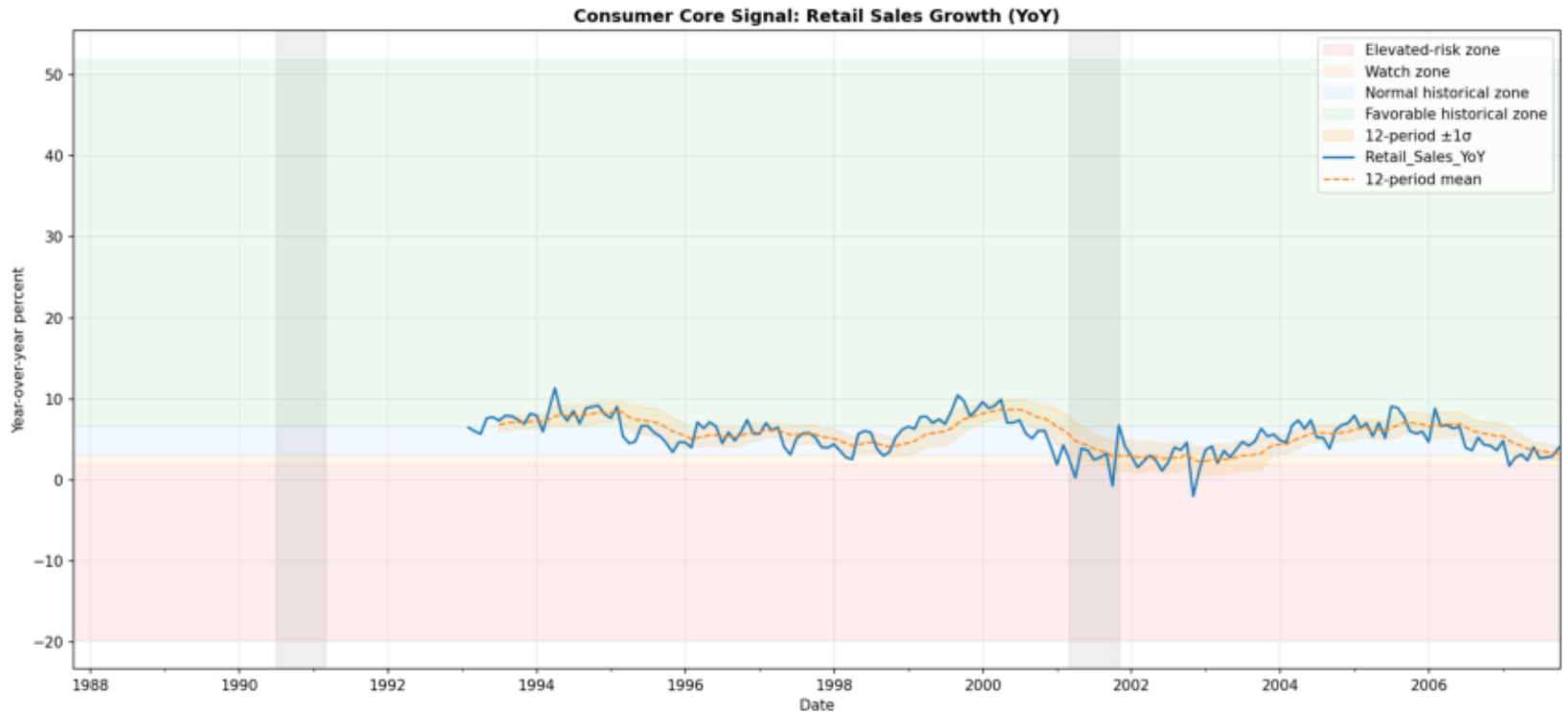
international_trade_tracker.py



International Trade core signal uses the U.S. trade balance level. A less negative or improving balance can indicate stronger external demand/competitiveness dynamics, while a widening deficit can reflect relative domestic demand strength or external softness depending on context.

Tracker Comparison (1987-10-09 to 2007-10-09)

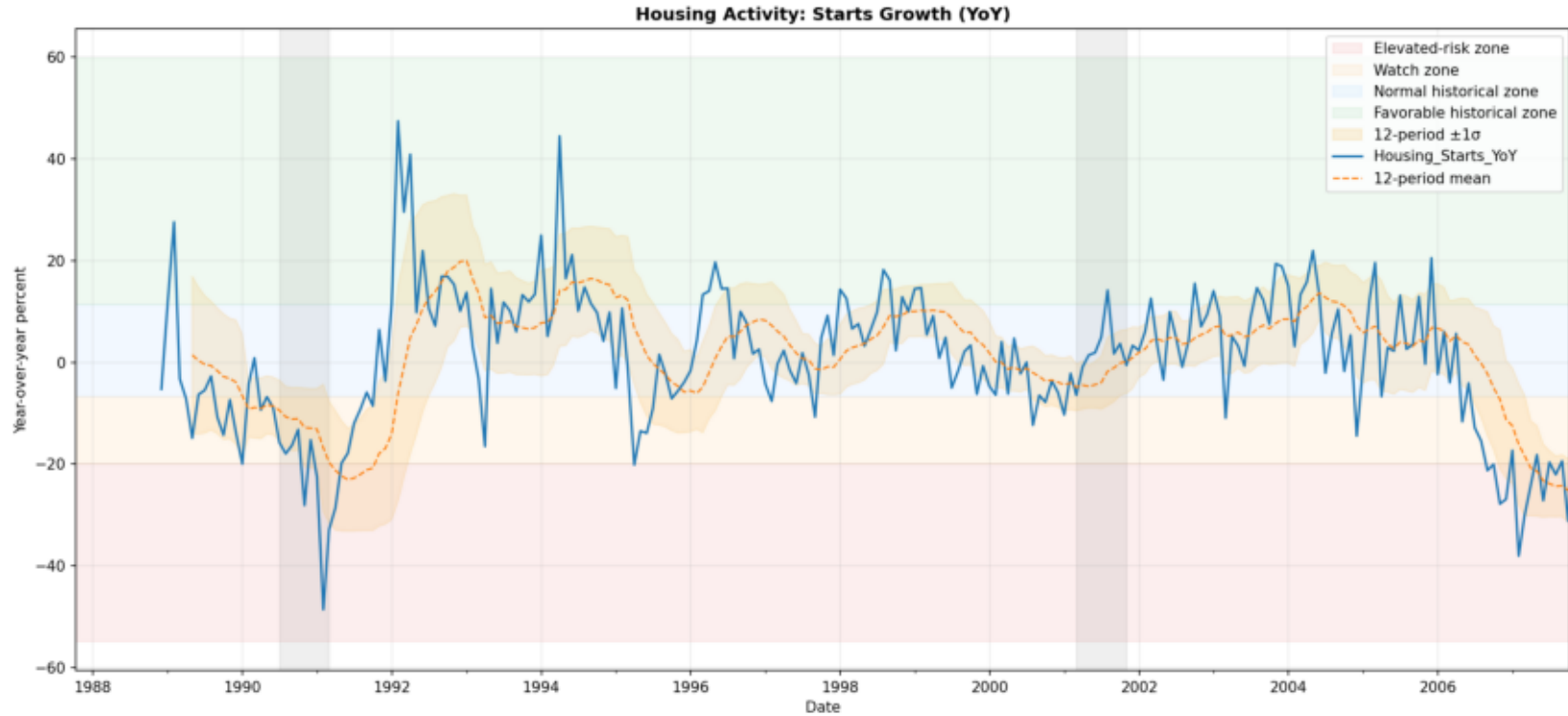
consumer_health_tracker.py



Consumer Health core signal tracks year-over-year growth in retail sales. Higher growth typically implies stronger household demand, while persistent slowing or negative growth can indicate consumer fatigue and weaker near-term growth momentum.

Tracker Comparison (1987-10-09 to 2007-10-09)

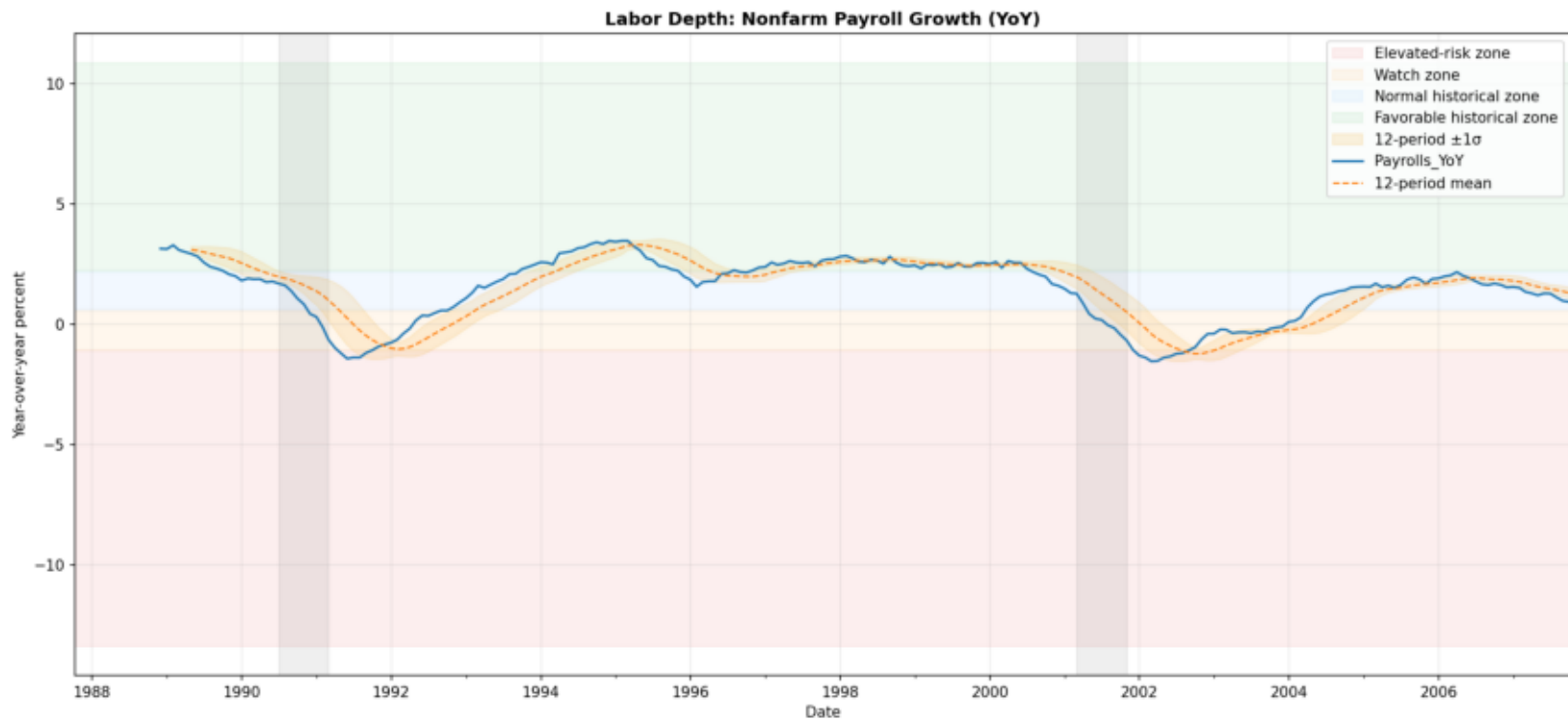
housing_starts_tracker.py



Housing Starts tracks year-over-year growth in residential housing starts. Housing is a cyclical, rate-sensitive sector, so persistent weakness often signals broader demand deceleration, while strong growth indicates improving construction momentum.

Tracker Comparison (1987-10-09 to 2007-10-09)

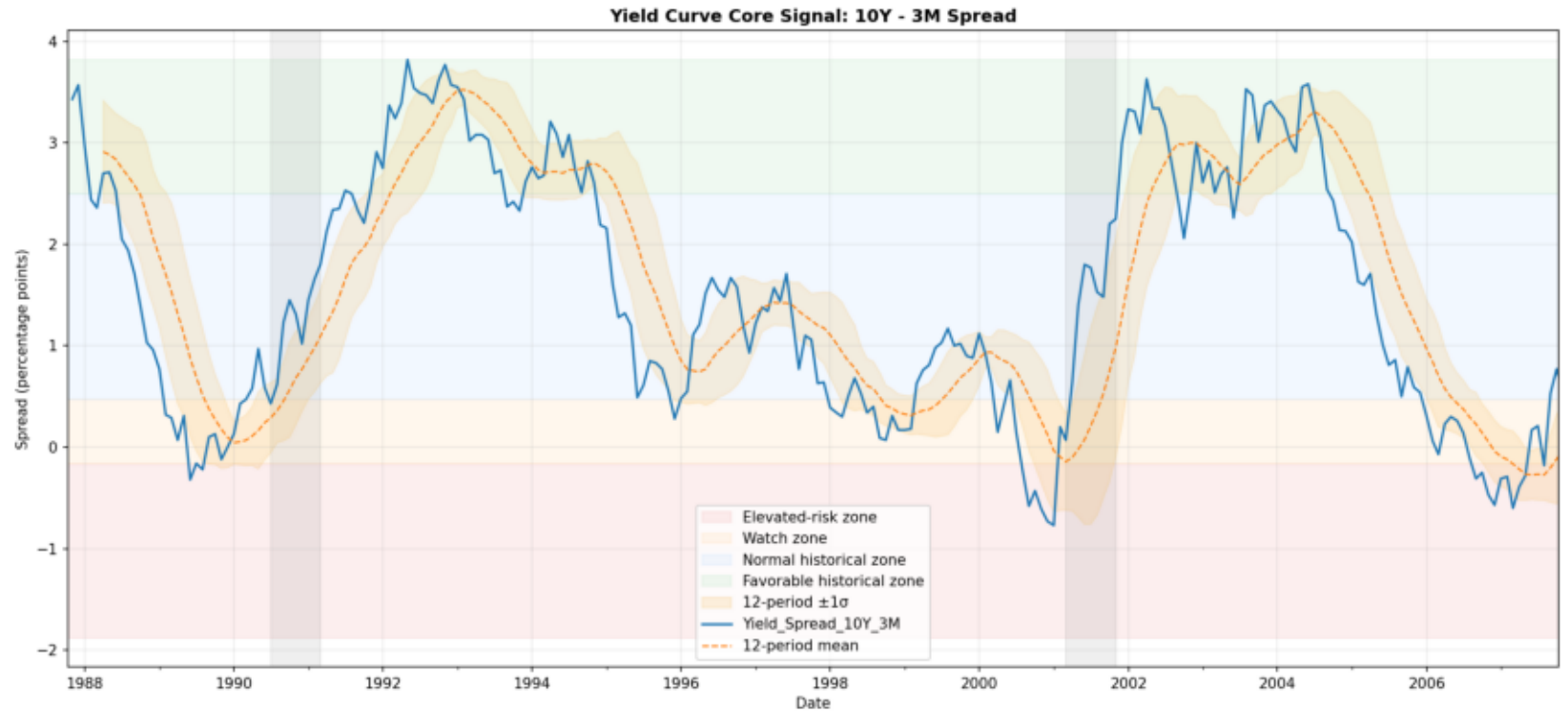
payroll_momentum_tracker.py



Payroll Momentum tracks year-over-year growth in nonfarm payroll employment. Higher and stable payroll growth reflects resilient labor demand, while sustained deceleration typically signals late-cycle softening and rising macro downside risk.

Tracker Comparison (1987-10-09 to 2007-10-09)

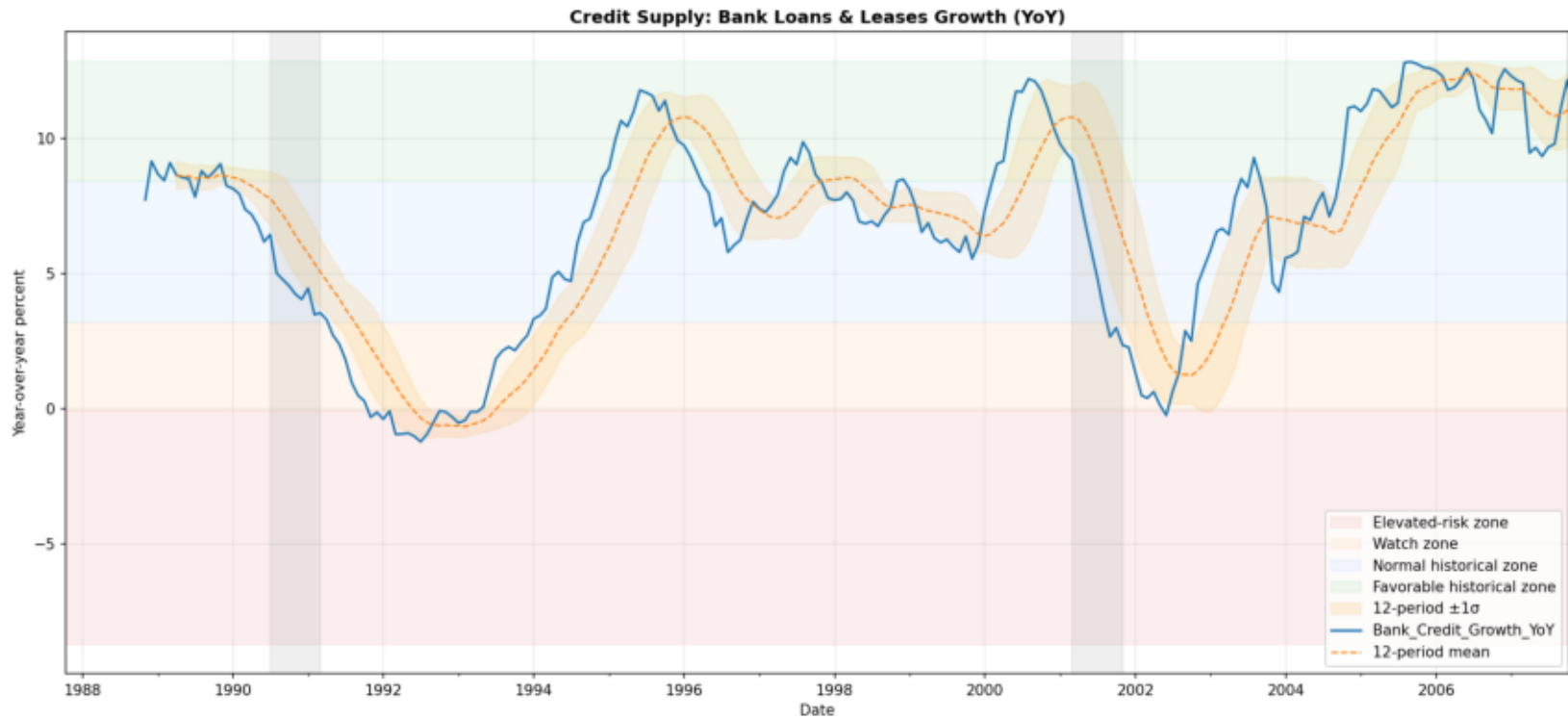
yield_curve_tracker.py



Yield Curve core signal uses the 10Y-3M Treasury spread. When the spread compresses toward zero or turns negative (inversion), recession risk is generally interpreted as rising; positive, wider spreads usually indicate less immediate cyclical stress.

Tracker Comparison (1987-10-09 to 2007-10-09)

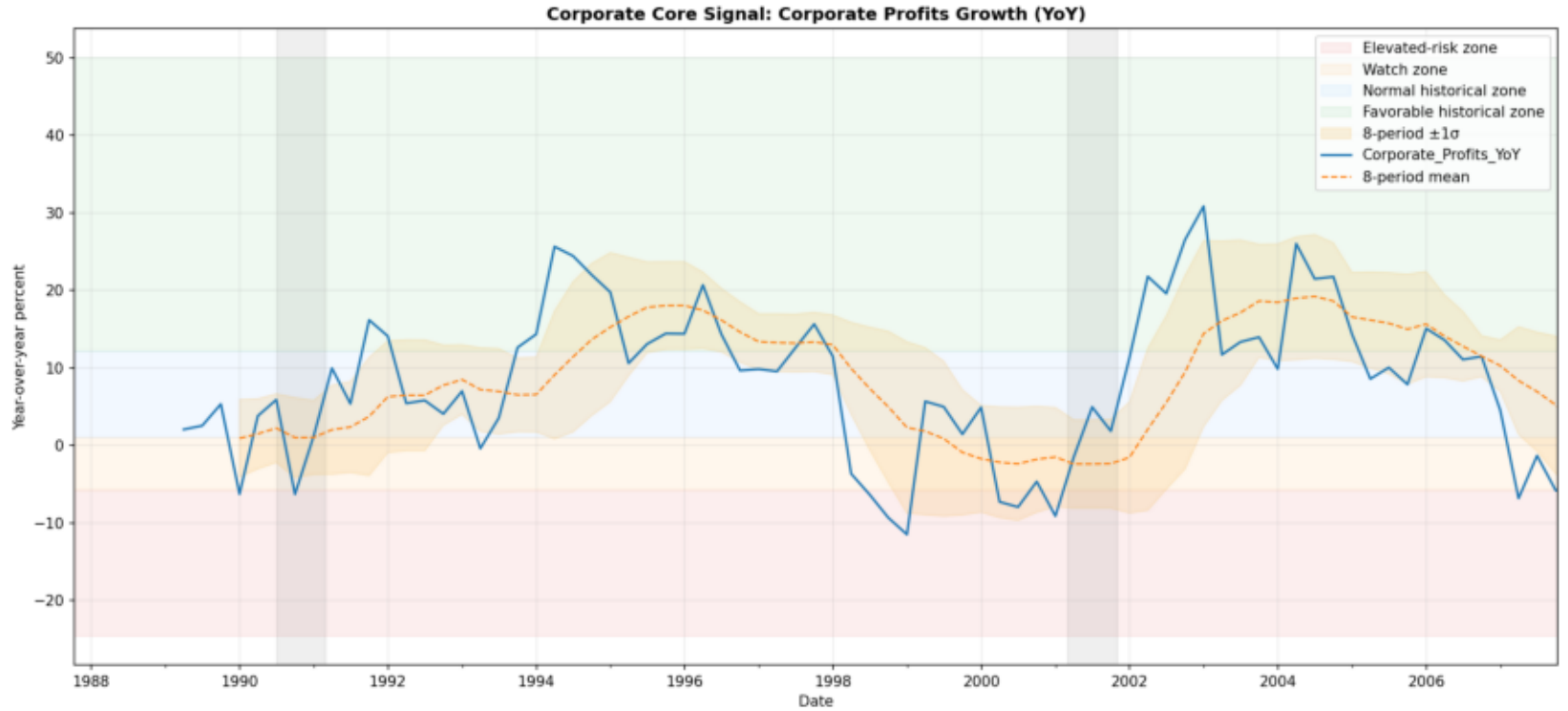
bank_credit_growth_tracker.py



Bank Credit Growth tracks year-over-year growth in total bank loans and leases. Stronger growth indicates healthier credit transmission into the real economy, while persistent slowdown can signal tighter lending and weaker forward demand.

Tracker Comparison (1987-10-09 to 2007-10-09)

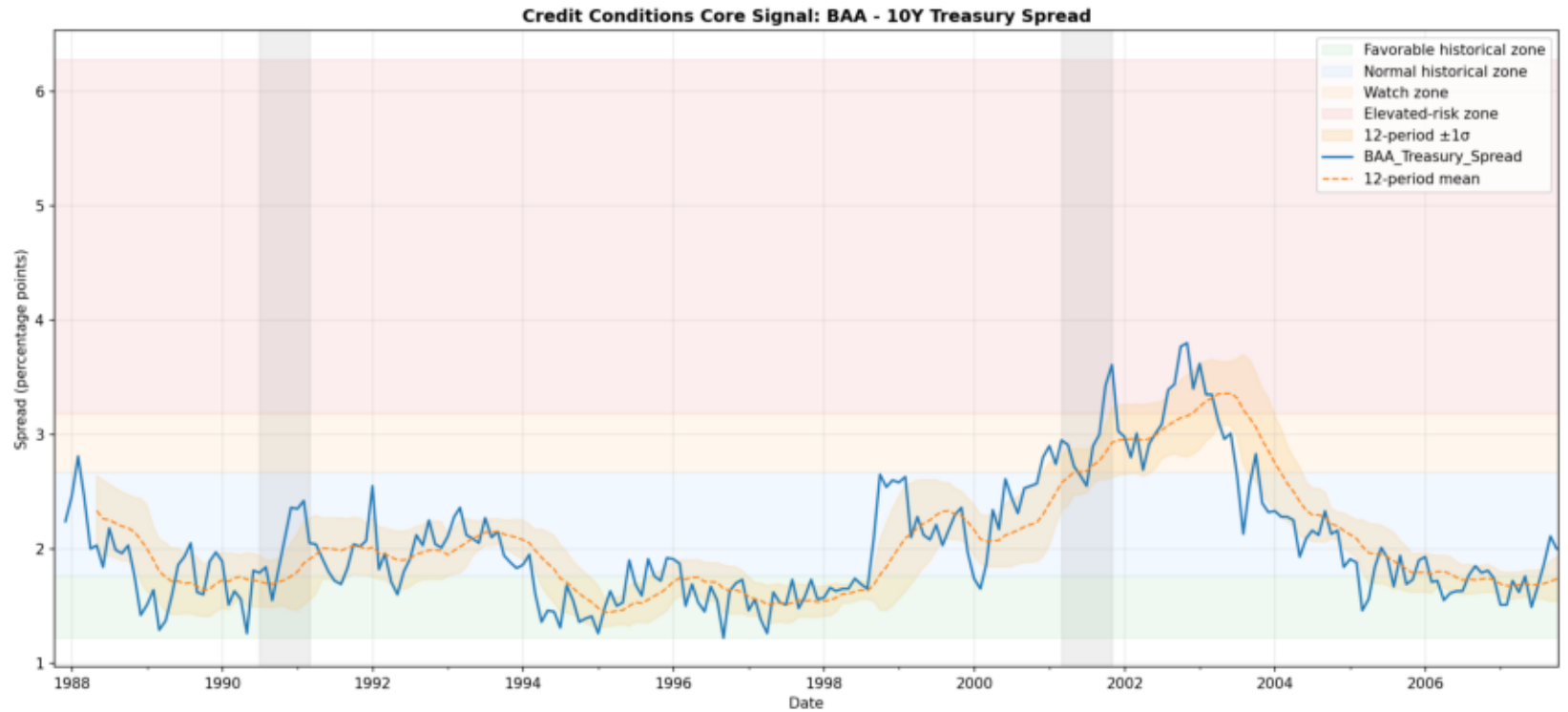
`corporate_earnings_tracker.py`



Corporate Earnings core signal tracks year-over-year growth in corporate profits (CPATAX). Stronger profit growth often supports investment and hiring, while weakening or contracting profits can signal rising business-cycle stress.

Tracker Comparison (1987-10-09 to 2007-10-09)

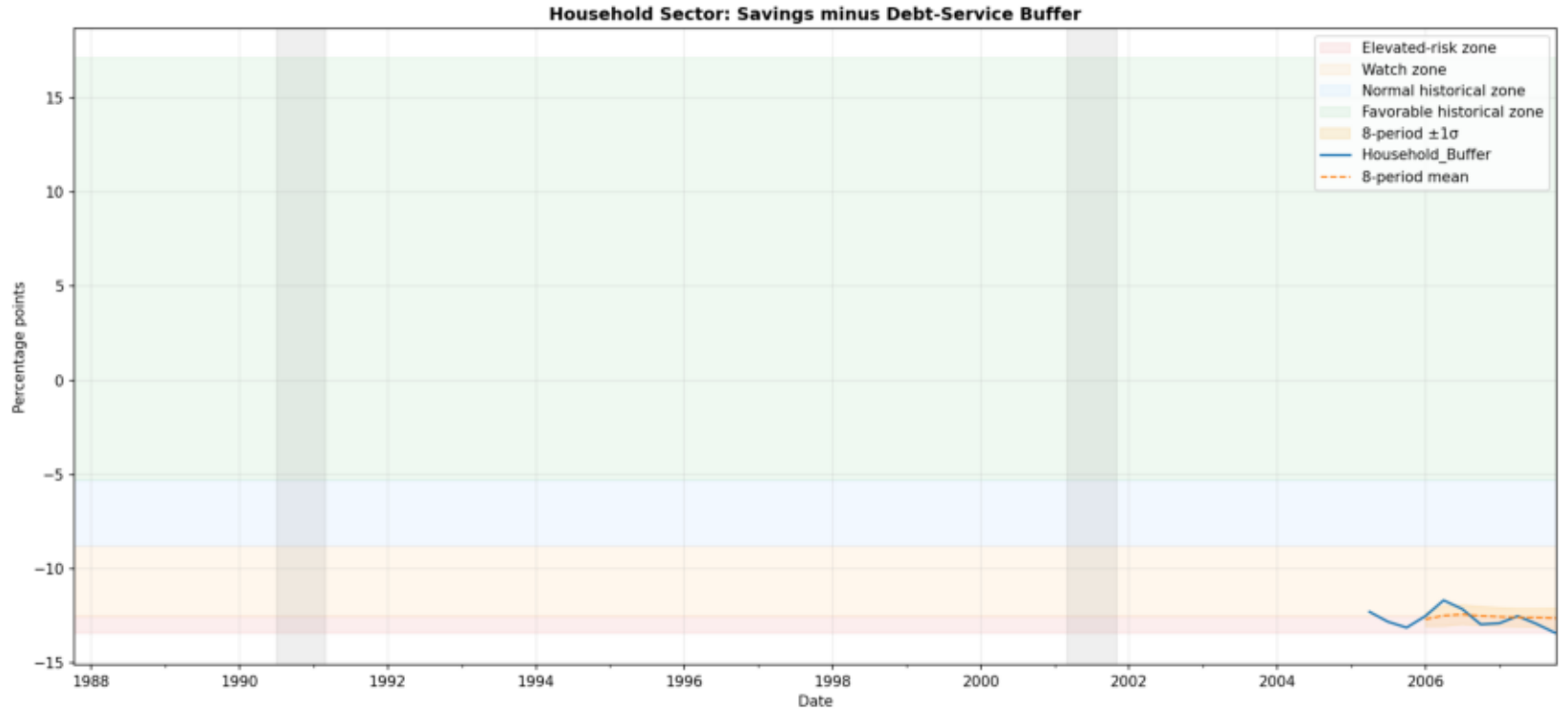
credit_conditions_tracker.py



Credit Conditions core signal is the BAA minus 10Y Treasury spread. Wider spreads usually indicate tighter financial conditions and higher perceived credit risk, while narrower spreads suggest easier credit transmission to the real economy.

Tracker Comparison (1987-10-09 to 2007-10-09)

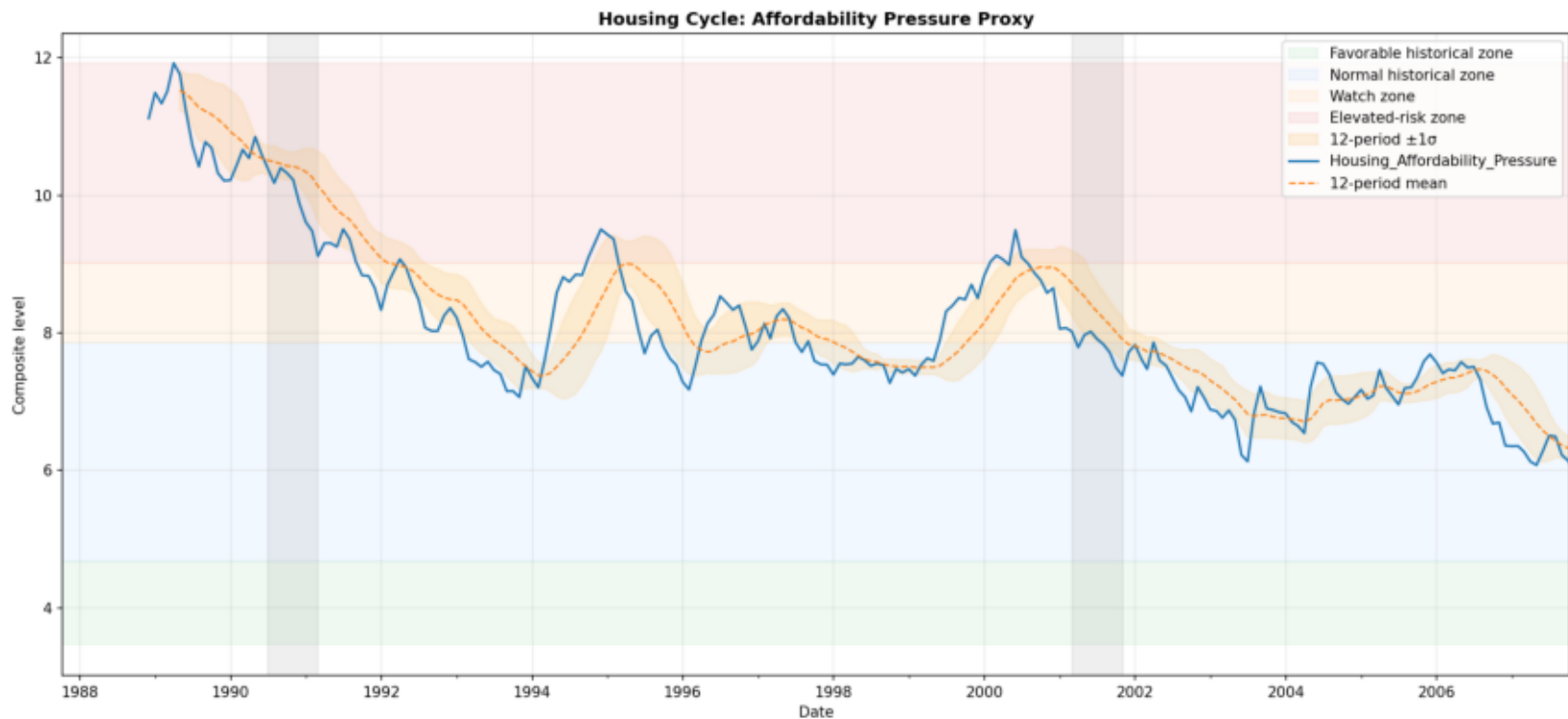
household_balance_tracker.py



Household Balance Buffer tracks the spread between the personal saving rate and household debt-service burden. A larger positive buffer suggests stronger household shock absorption capacity, while compression indicates less flexibility to absorb income or financing stress.

Tracker Comparison (1987-10-09 to 2007-10-09)

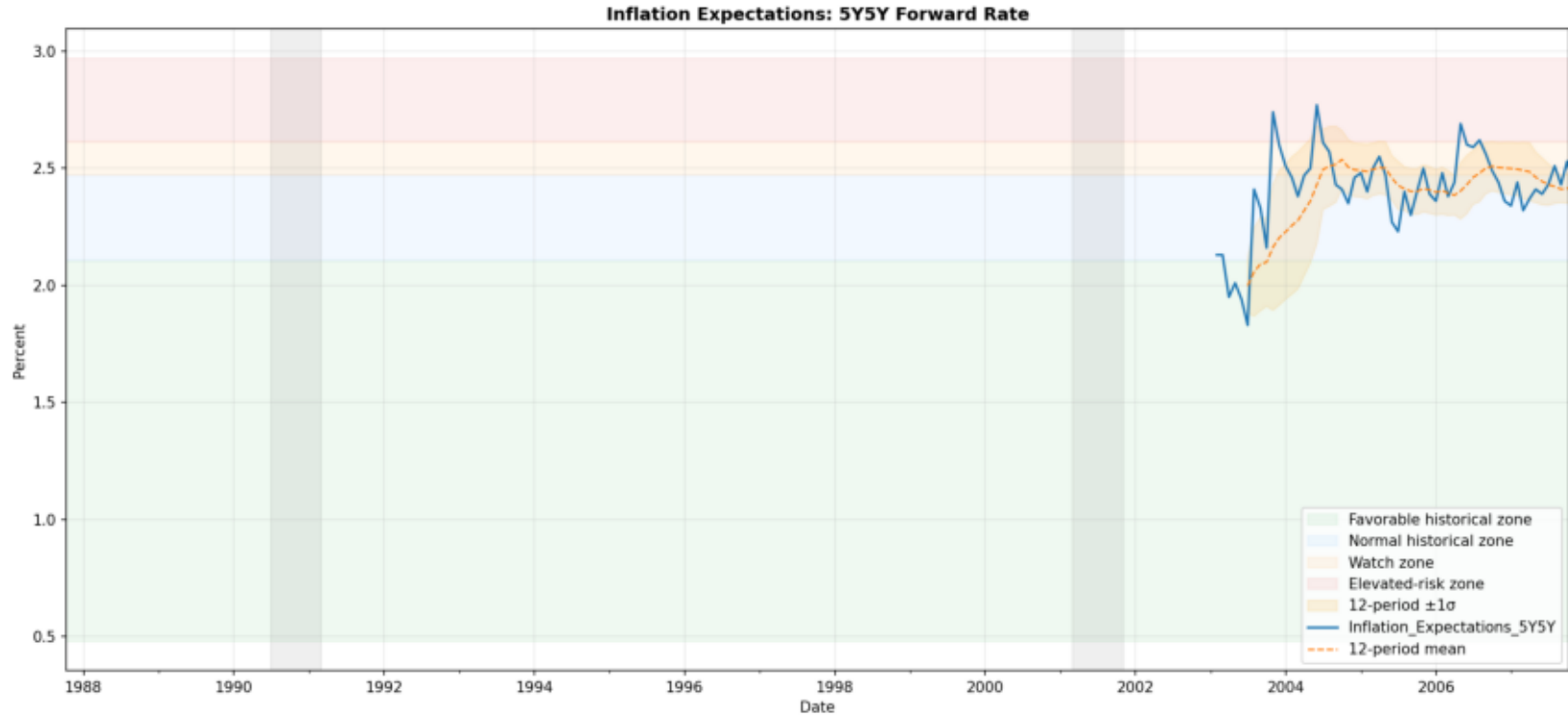
housing_affordability_tracker.py



Housing Affordability Pressure combines 30-year mortgage rates with home price inflation pressure. Higher values indicate tighter affordability conditions for marginal buyers, which often precede weaker housing turnover and broader interest-rate sensitive slowdown.

Tracker Comparison (1987-10-09 to 2007-10-09)

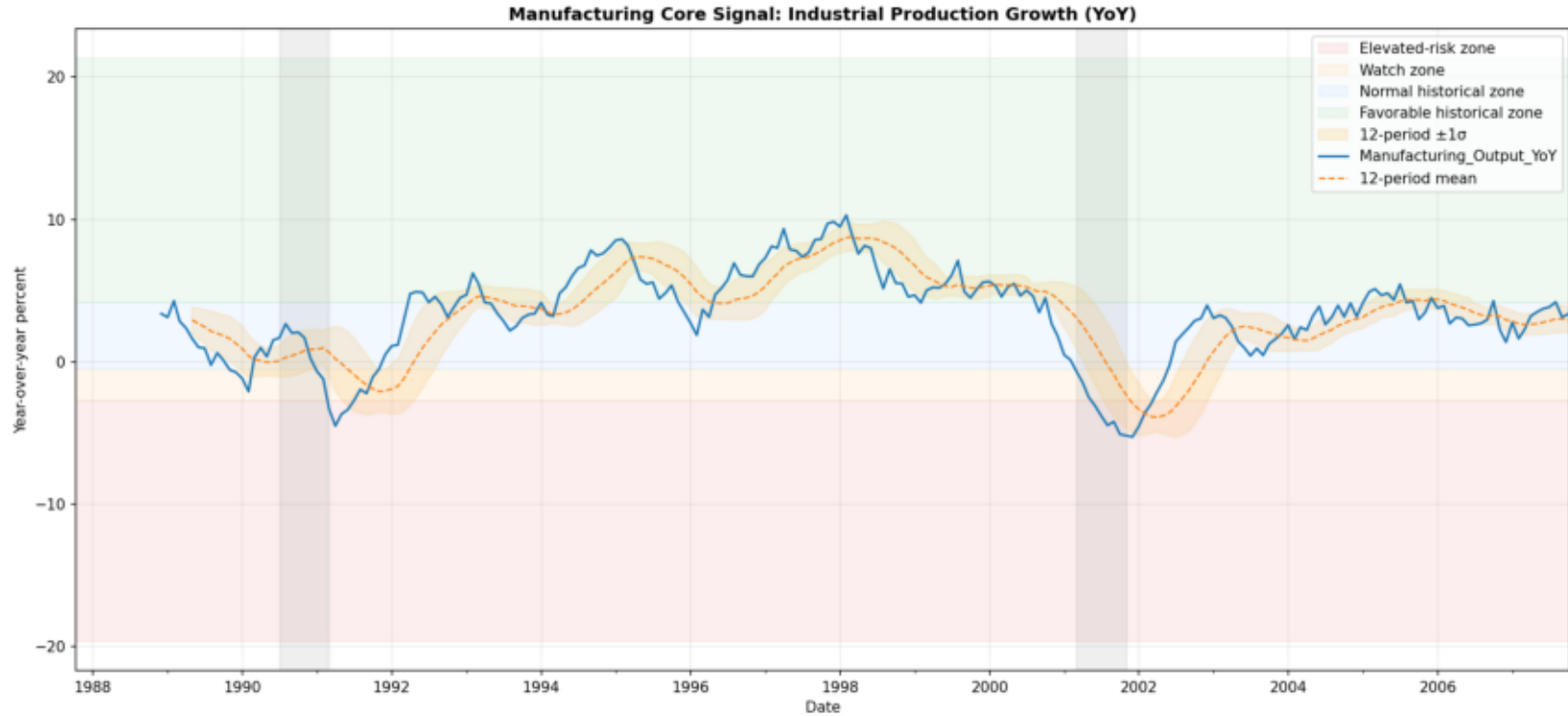
`inflation_expectations_tracker.py`



Inflation Expectations tracks the 5-year, 5-year forward inflation expectation rate. Higher readings can signal concern that inflation may remain above target over the medium term, while lower readings suggest better anchoring of inflation expectations.

Tracker Comparison (1987-10-09 to 2007-10-09)

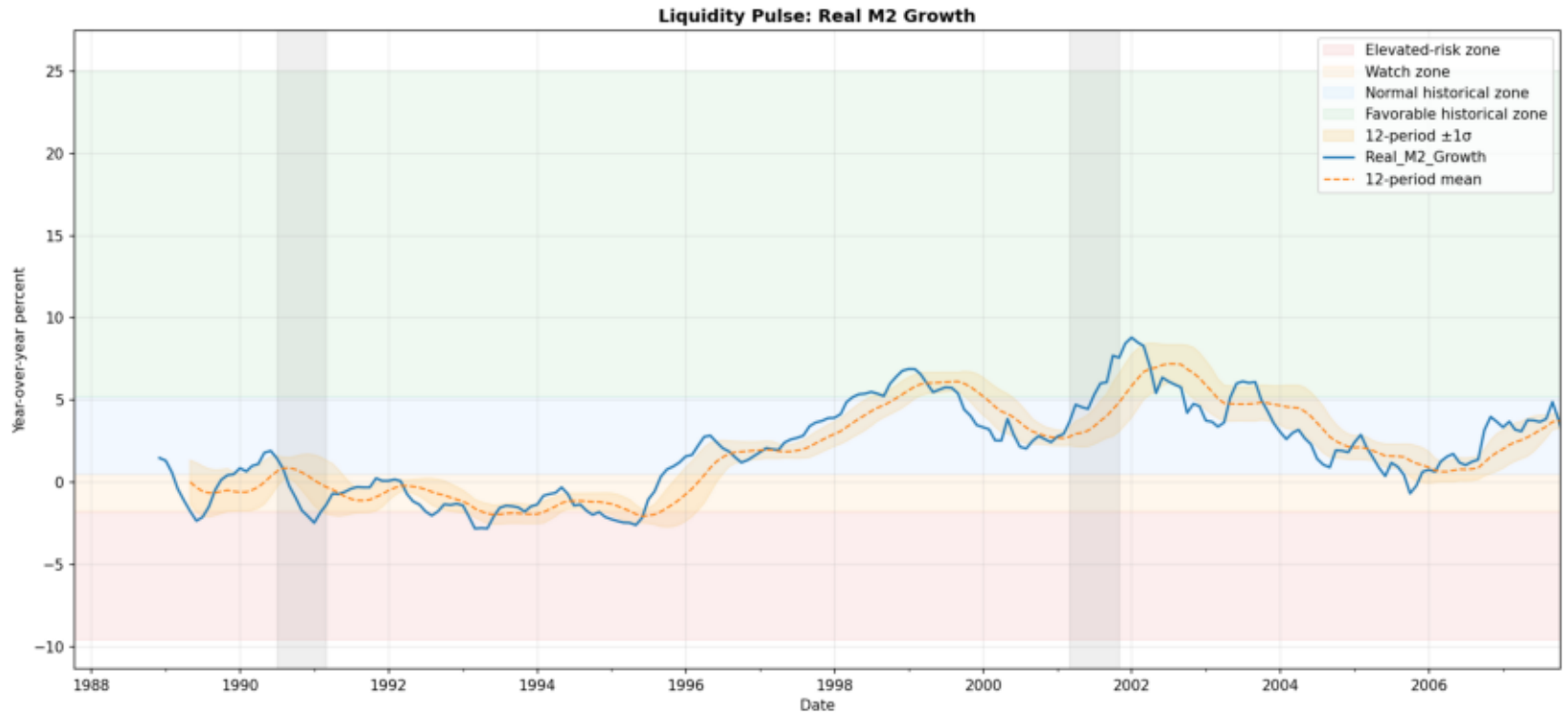
manufacturing_tracker.py



Manufacturing core signal tracks year-over-year growth in Industrial Production: Manufacturing (IPMAN). Positive acceleration typically reflects stronger goods-sector demand, while persistent deceleration or contraction often signals cyclical slowdown pressure.

Tracker Comparison (1987-10-09 to 2007-10-09)

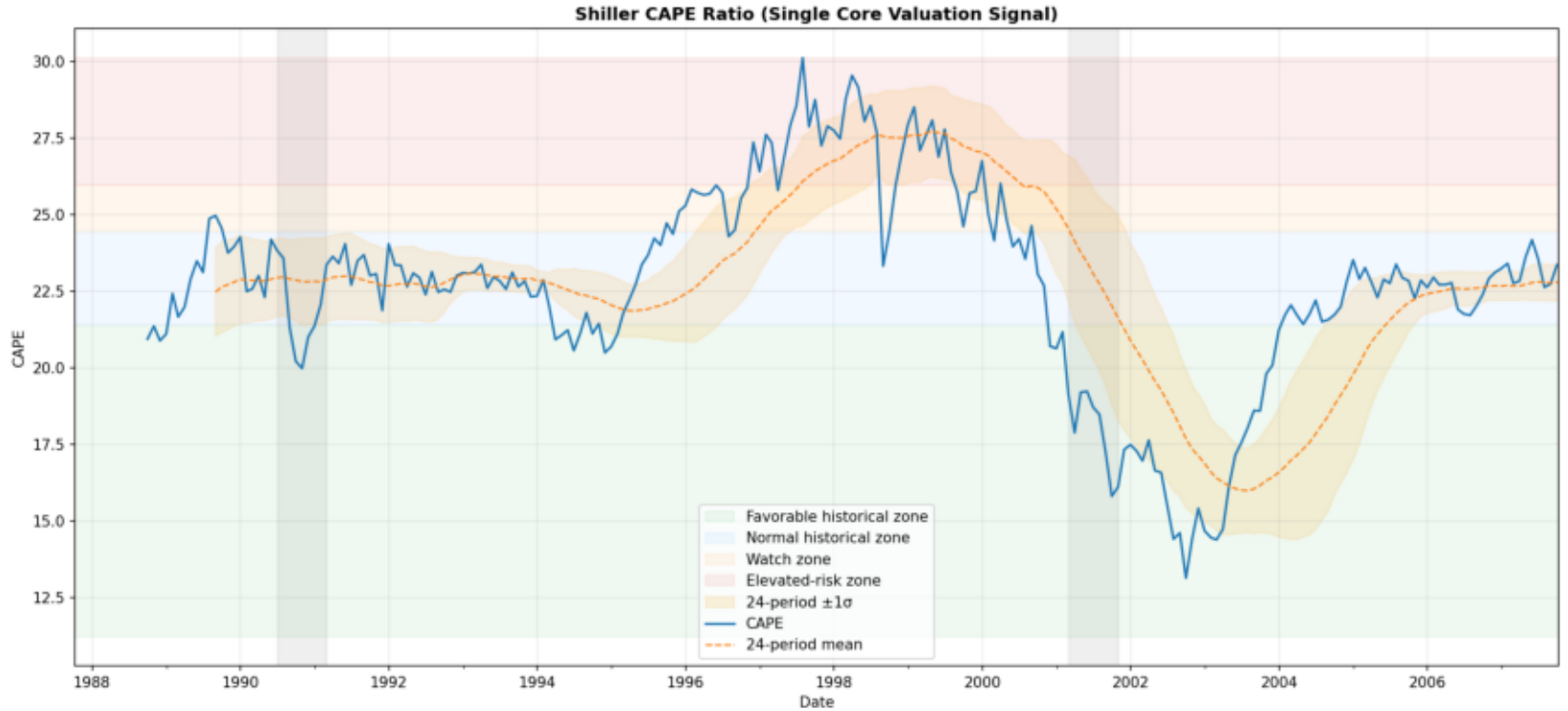
real_m2_growth_tracker.py



Real M2 Growth tracks broad money supply growth adjusted for CPI inflation (M2 YoY minus CPI YoY). Higher readings usually imply stronger liquidity support for nominal activity, while weak or negative readings indicate tighter real liquidity conditions.

Tracker Comparison (1987-10-09 to 2007-10-09)

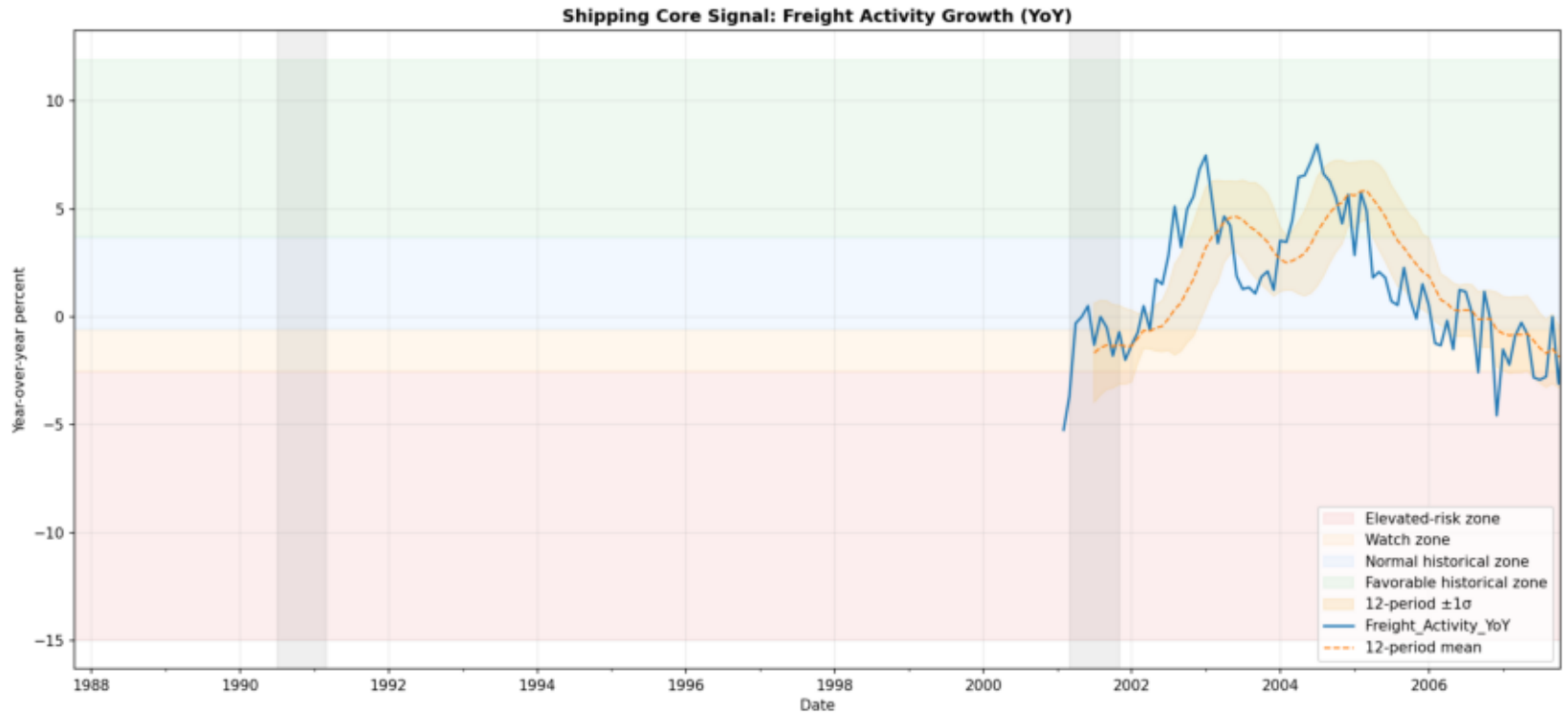
shiller_cape_tracker.py



Shiller CAPE (cyclically adjusted P/E) compares market prices to long-run normalized earnings. Higher CAPE levels indicate richer valuation conditions and historically lower long-horizon forward return potential, while lower CAPE levels indicate more attractive long-run valuation regimes.

Tracker Comparison (1987-10-09 to 2007-10-09)

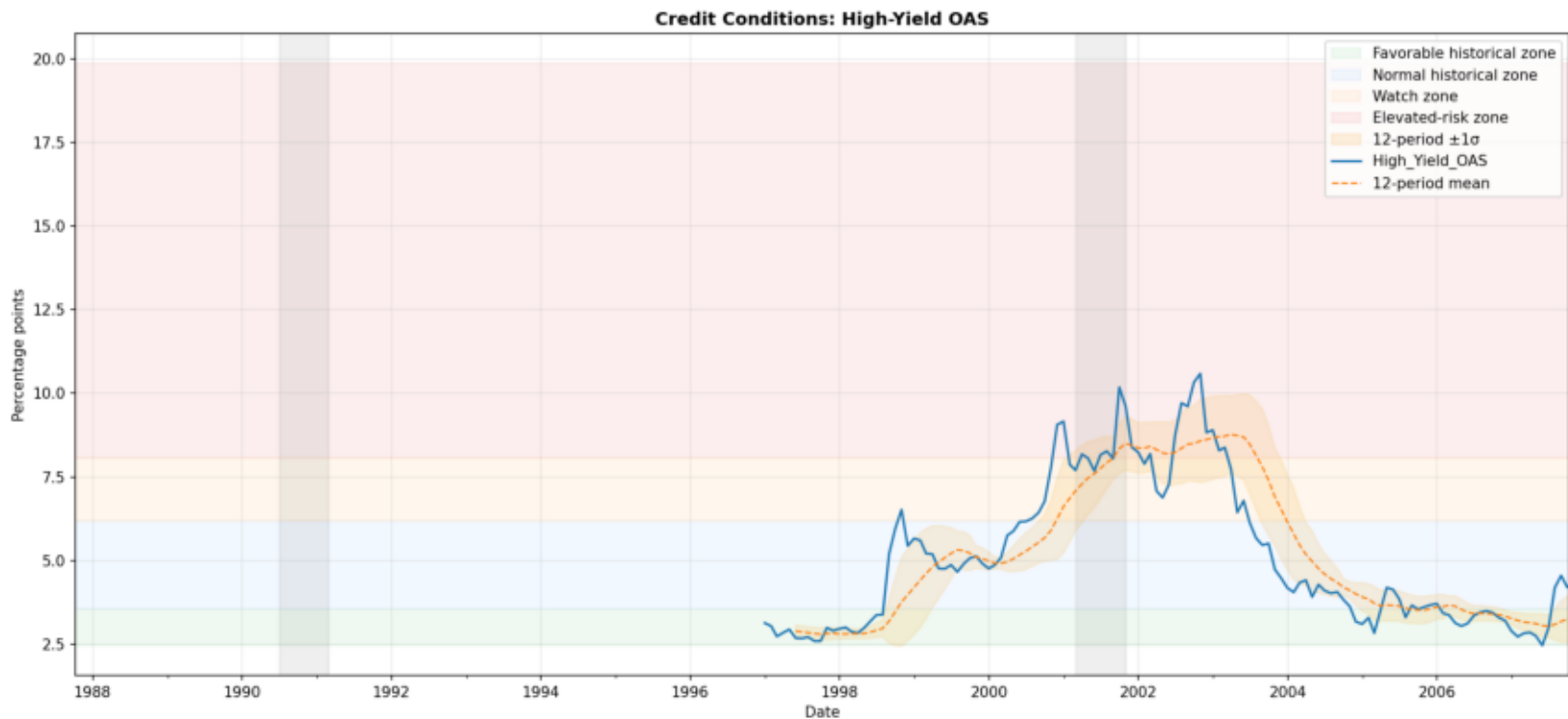
shipping_tracker_complete.py



Shipping core signal tracks year-over-year growth in the Transportation Services Index: Freight (TSIFRGHT). Rising freight activity generally aligns with stronger real-economy goods movement, while weak or negative growth can indicate softening logistical and industrial demand.

Tracker Comparison (1987-10-09 to 2007-10-09)

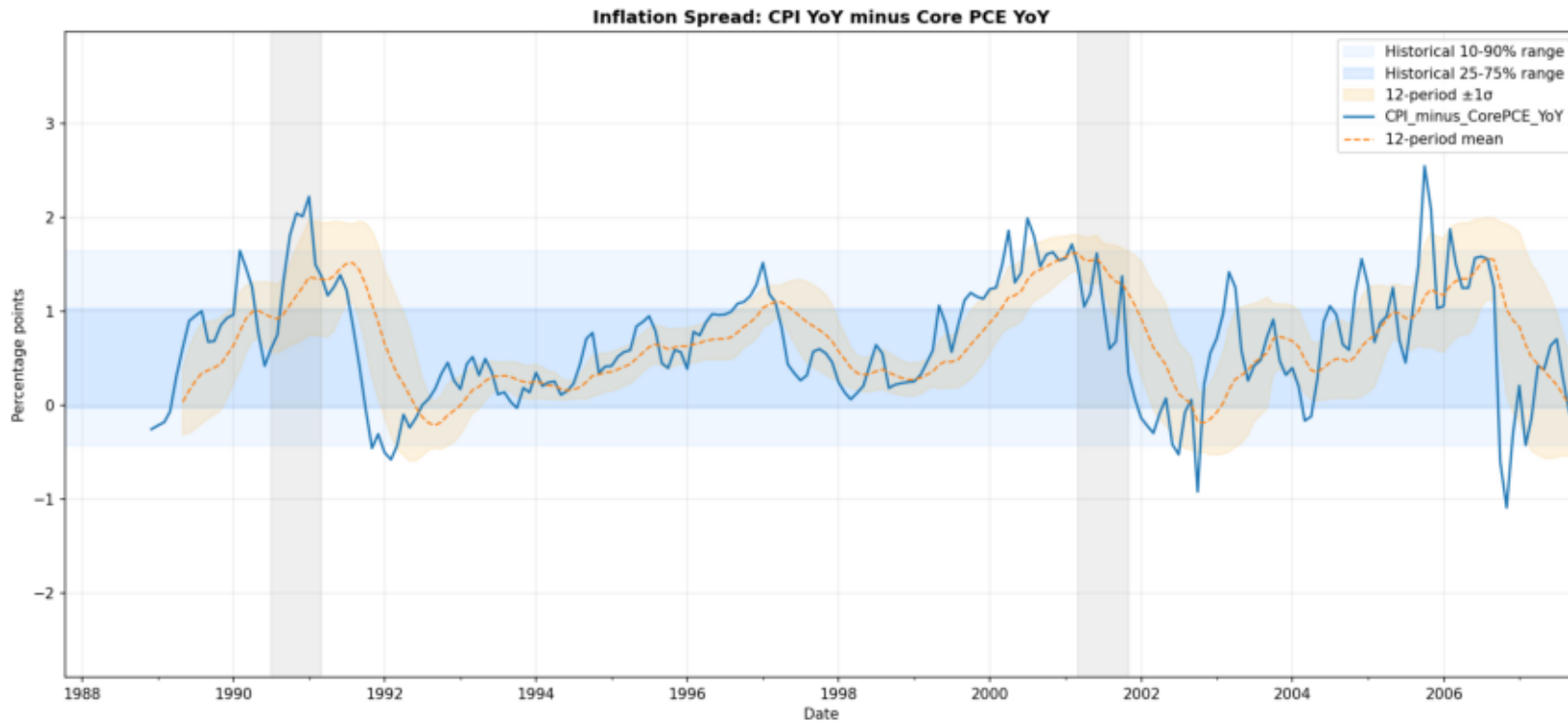
high_yield_oas_tracker.py



High-Yield OAS tracks option-adjusted spreads on below-investment-grade corporate bonds. Widening spreads indicate rising default risk and tighter financing conditions, while tighter spreads generally align with stronger risk appetite and easier credit transmission.

Tracker Comparison (1987-10-09 to 2007-10-09)

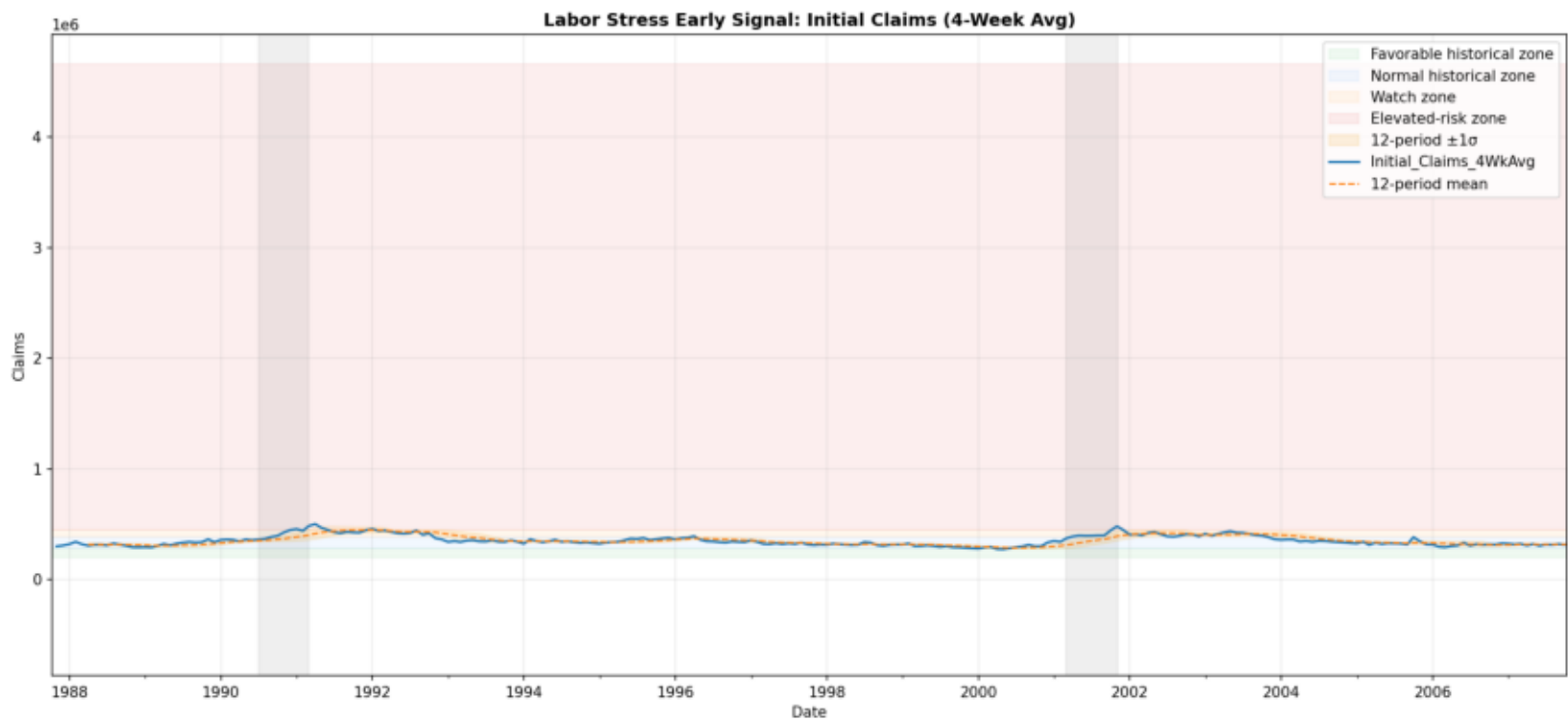
`inflation_spread_tracker.py`



Inflation Spread tracks the gap between headline CPI and Core PCE inflation (both year-over-year). A wider positive spread often signals stronger energy and goods price pass-through, while narrowing spreads can indicate disinflation in the most volatile components and a more stable inflation backdrop.

Tracker Comparison (1987-10-09 to 2007-10-09)

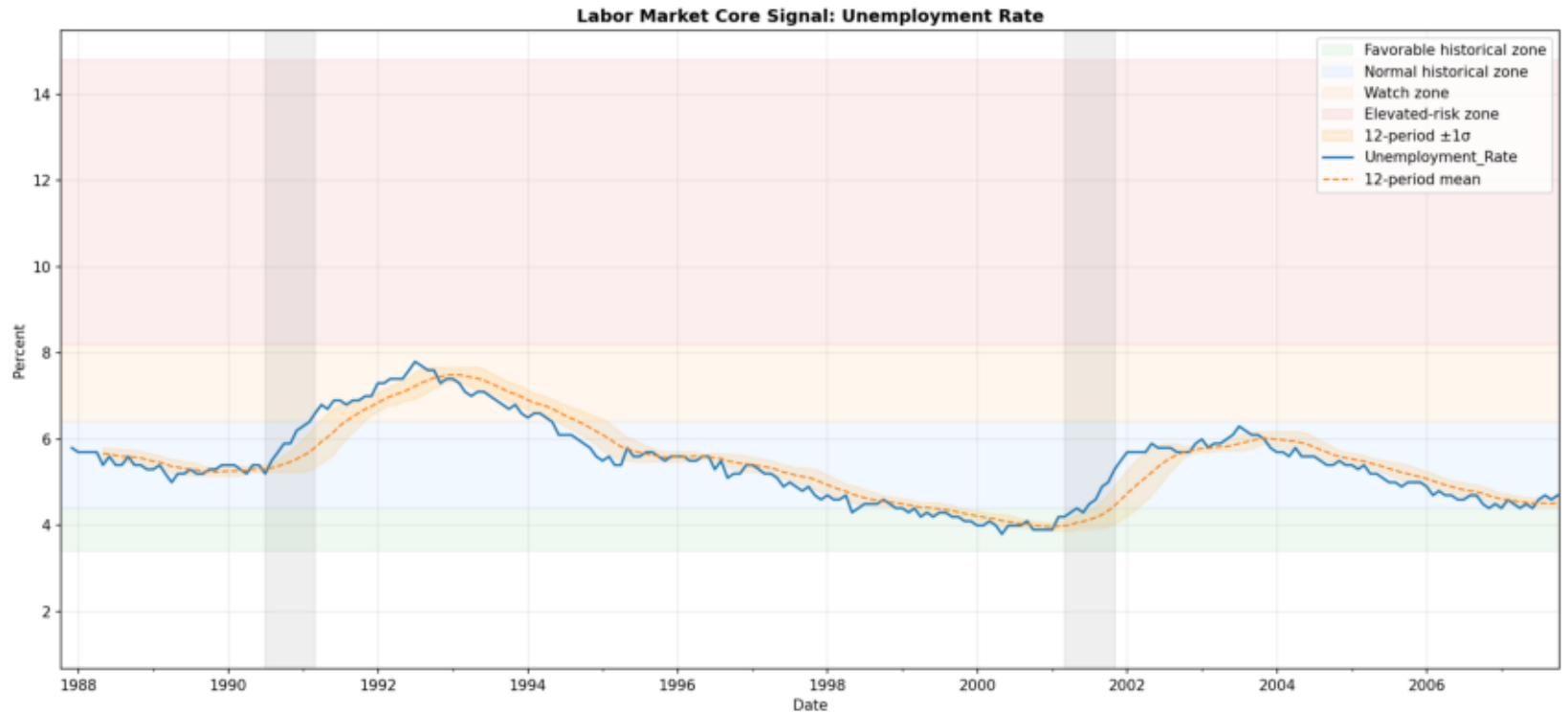
initial_claims_tracker.py



Initial Claims tracks the 4-week moving average of new unemployment insurance claims. Rising claims are typically an early warning of labor market stress and slowing growth momentum, while low and stable claims suggest resilient employment conditions.

Tracker Comparison (1987-10-09 to 2007-10-09)

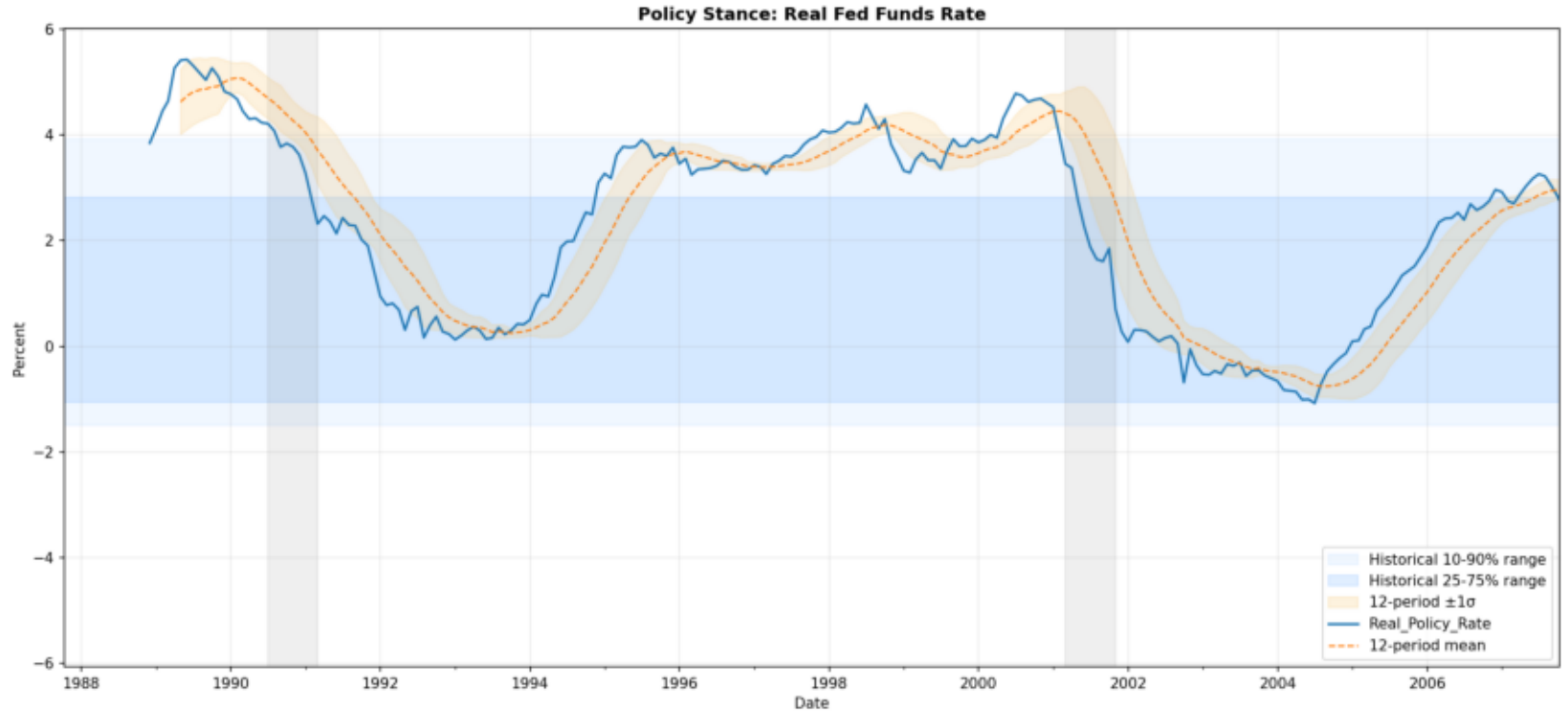
labor_market_tracker.py



Labor Market core signal tracks the U.S. unemployment rate. Lower unemployment generally reflects stronger labor demand and economic momentum, while sustained increases often indicate cooling activity and can be a lagging confirmation of downturn conditions.

Tracker Comparison (1987-10-09 to 2007-10-09)

real_policy_rate_tracker.py



Real Policy Rate tracks the effective federal funds rate minus core PCE inflation (year-over-year). Rising real rates generally imply tighter policy and more growth headwinds, while deeply negative real rates imply easier financial conditions that can support demand but may reheat inflation pressure.